

Northstar Knitwear & Apparels Pvt. Ltd.

Risk and Escalation Management Report

Reporting Period: August 2026

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Control	Details
Assessment Date	31-Aug-2026
Risk Entries	22
High/Critical	8
Medium	9
Low	5
Overall Risk	Amber

1. Enterprise Risk Register

Risk	Dept.	Likelihood	Impact	Rating	Owner	Current Control
Black rib shortage	Stores/Purchase	High	High	Critical	Purchase	Emergency PO + alternate
ARV embroidery delay	Embroidery	High	High	Critical	Operations	Priority queue + outsource
Line 4 low efficiency	Stitching	High	High	High	Production	IE balancing
Second-shift absenteeism	HR/Production	Medium	High	High	HR	Cross-training
Supplier dye-house delay	Purchase	Medium	High	High	Purchase	Weekly review
Buyer approval delay	Merchandising	Medium	High	High	Merchandising	Daily follow-up
Carton shortage	Packing	Medium	High	High	Stores	Local backup
Flatlock breakdown	Maintenance	Medium	High	High	Maintenance	Spare machine
Shade variation	QA/Cutting	Medium	Medium	Medium	Quality	Lot segregation

2. Critical Escalation Cases

Case	Trigger	Impact	Level	Decision Required
E-260831-01	Black rib <3 days cover	Potential line stoppage	L3	Approve emergency purchase
E-260831-02	ARV >500 pcs open within 4 days	Short shipment risk	L3	OT + outsource
E-260831-03	LPP 680 pcs open within 6 days	Dispatch cut-off risk	L2	Sunday shift
E-260831-04	Line 4 FPY <94%	Capacity loss	L2	IE/QA intervention
E-260831-05	Supplier OTIF <75%	Repeat disruption	L2	CAPA / dual source

3. Escalation Matrix

Level	Definition	Response	Authority	Example
L1	Department-contained issue	Same shift	Dept. Head	Minor shortage
L2	Cross-functional impact	1 hr	Factory Manager	Machine downtime >90 min
L3	Customer/delivery risk	30 min	GM/Factory Manager	Order likely to miss date
L4	Major customer/safety/legal risk	Immediate	Senior Management	Serious event

4. Risk Trend

Category	Start	End	Trend	Comment
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Material	High	High	↔	Rib remains critical
Production	Medium	High	↑	Line 4 and breakdowns
Quality	Medium	Medium	↔	Defects concentrated
Buyer approvals	Medium	High	↑	1–3 day slips
Logistics	Low	Medium	↑	Carton/readiness issues

5. Root Cause Review

Incident	Root Cause	Contributing Factor	Corrective Action	Check
Black rib shortage	Supplier schedule slip	Forecast placed late	Earlier forecast + safety stock	Weekly stock cover
ARV embroidery delay	Capacity prioritization	No reserved slot	Reserved capacity	Daily panel output
Line 4 quality loss	Operation setting	High complexity	IE bulletin + first-piece	FPY >96%
Carton shortage	Late PO release	Artwork revision	Earlier artwork freeze	Receipt before packing
Absenteeism	Seasonal/local absence	Limited cross-training	Cross-train helpers	Attendance >95%

6. Contingency Measures

- Maintain approved alternate supplier for critical rib and cartons.
- Pre-book embroidery capacity for motif-heavy styles.
- Keep controlled overtime reserve for orders inside five working days.
- Maintain spare-part kits for flatlock, overlock and critical sewing machines.
- Use split shipment only with documented buyer approval.

7. Business Continuity Priorities

Priority	Scenario	Continuity Action	Decision Owner
1	Material shortage	Alternate source / resequence	Purchase + Planning
2	Critical machine down	Move work + backup machine	Maintenance + Production
3	Labor shortfall	Cross-train / shift balance	HR + Production
4	Buyer approval delay	Escalate with evidence	Merchandising
5	Quality containment	Segregate, rework, trace	Quality

8. Management Position

The current risk profile is manageable if risks are acted upon before they convert into stoppage or customer misses. Early visibility is the primary control: material, approval, capacity and quality risks must be visible in the daily meeting.

9. September Risk Action Plan

Action	Owner	Due	Risk Addressed	Status
Qualify alternate black rib supplier	Purchase	06-Sep	Material shortage	Open
Reserve EmbroidPro capacity	Purchase	01-Sep	ARV delay	Open
Line 4 IE study	IE + QA	03-Sep	Efficiency/defects	Open
Second-shift attendance plan	HR	05-Sep	Labor shortage	Open
Critical machine spare kit	Maintenance	04-Sep	Breakdown	Open
Daily order risk dashboard	Planning	01-Sep	Delivery risk	Planned

10. Escalation Protocol

When a risk reaches L2 or above, the owner records the issue, business impact, containment action, decision required, responsible person and next review time. Escalated items remain open until evidence of closure is recorded. Verbal instructions affecting buyer commitments must be confirmed in writing.

11. Final Management Comment

September focus is to reduce the number of risks entering the final three days of an order. Production, Stores, Purchase and Merchandising are jointly accountable for early warning. Department heads shall review open risks at the start of each shift.